

Share Capital & Debentures

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

Share capital is the money a company raises by issuing shares — every share represents a slice of ownership in the company. Debentures, defined in Section 2(30) of the Companies Act, 2013, are debt instruments that acknowledge a loan repayable with interest as per the debenture trust deed. The two sit at opposite ends of the capital structure: shareholders are owners with voting rights, debenture-holders are creditors with a fixed coupon.

- Authorised capital (Section 2(8)) is the ceiling fixed in the Memorandum; issued, subscribed, called-up and paid-up are progressively narrower sub-sets.
- Equity and preference shares are classified under Section 43; preference shares carry four optional attributes (cumulative, participating, convertible, redeemable).
- Calls in arrears attract 10% p.a. interest under Section 51; shares can be forfeited under Section 53 for non-payment.
- Debentures are redeemed by creating a Debenture Redemption Reserve (DRR) under Section 71(4) read with Rule 18 — currently 25% for NBFCs, 10% for specified infrastructure companies, and NIL for other listed companies after the 2014 amendment.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Classification under Section 43

Section 43(1)(a) defines equity share capital as shares with uniform voting and dividend rights. Section 43(1)(b) defines preference share capital as shares carrying a preferential right to dividend and to repayment of capital on winding-up. Preference shares can stack up to four attributes: cumulative/non-cumulative, participating/non-participating, convertible/non-convertible, and redeemable/irredeemable.

Type of Capital	Defined under	Key feature
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Authorised	Section 2(8)	Maximum ceiling in the Memorandum
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Issued	Section 2(60)	Offered to the public or private placement
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Subscribed	Section 2(86)	Actually accepted by applicants
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Called-up	Section 2(15)	Portion of face value demanded by the company
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Paid-up	Section 2(64)	Amount actually received on called-up portion
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Calls in Arrears and Forfeiture

When a shareholder fails to pay a call, the unpaid amount becomes Calls in Arrears under Section 51. The company charges interest at 10% per annum unless the Articles prescribe otherwise. The formula is:

$$\text{Interest} = \text{Calls in Arrears} \times 10\% \times (\text{Days delayed} \div 365)$$

If the default continues, the Board can forfeit the shares under Section 53 by passing a resolution. On forfeiture, the company must refund the amount already received (after adjusting any arrears) and the shares revert to the pool of authorised but unissued capital. Re-issue of forfeited shares is permitted at a discount, but the discount cannot exceed the amount actually received on those shares.

Share Premium and Discount

Section 52 allows shares to be issued at a premium, calculated as:

Share Premium = (Issue Price – Face Value) × Number of Shares Issued

The premium collected forms part of Securities Premium Account and can be utilised only for the limited purposes listed in Section 52(2) — write-off of issue expenses, buy-back under Section 68, bonus issue under Section 63, etc. Issuing shares at a discount is prohibited under Section 53, save for the specific case of forfeited shares re-issued at a discount capped by the amount received.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Debentures: Mechanics and DRR

A debenture is governed by a Debenture Trust Deed under Section 71(1)–(3) and a Debenture Trustee must be appointed before allotment. The trustee protects the collective interest of debenture-holders and ensures the company creates adequate security.

Redemption requires creation of a DRR out of profits available for dividend, under Section 71(4) read with Rule 18 of the Companies (Share Capital and Debentures) Rules, 2014. The current DRR rates are:

Company category DRR rate (of nominal value of debentures)

NBFCs 25%

Infrastructure companies per Rule 18(1)(b) 10%

Other listed companies NIL (post-2014 amendment)

A common trap is applying a uniform 25% across the board. Unlisted companies other than NBFCs must also follow the rate applicable to their category, not a blanket figure.

Distinction on Winding-Up Priority

Section 327 fixes the payment order on winding-up: secured creditors (including debenture-holders with a charge) first, then preferential creditors, then unsecured creditors, then preference shareholders, and finally equity shareholders. This is why secured debentures rank above preference shares despite preference shares being capital.

Sweaty Equity, ESOP and Bonus Shares

Sweat equity under Section 54 is issued to directors or employees for non-cash consideration at a price fixed by a registered valuer — discount is barred.

ESOP under Section 62(1)(b) is offered only to permanent employees, and the issue price can be at a discount but not below the SEBI-disclosed formula.

Bonus shares under Section 63 are issued by capitalising free reserves or securities premium; the issuing shares must be fully paid-up, and capital redemption reserve cannot be used.

Practice Prompts

ABC Ltd issued 10,000 equity shares of ₹100 each at a premium of ₹20, payable as: application

₹30, allotment ₹50 (including premium), first call ₹40. An applicant for 200 shares failed to pay the allotment money. Compute calls in arrears and the 10% interest for 6 months.

PQR Ltd, an NBFC, issued ₹5 crore secured redeemable debentures. Calculate the DRR to be created and explain the investment restrictions under Rule 18(2) regarding deposits and bank guarantees.

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